time. Mostly direct channel is operated by all producers through branches. Even in Information Technology (IT) companies, a software is created and modified to suit the customer's needs. Insurance companies have branches and employ agents to connect with policyholders. Producer's website is of greater use in connecting with the consumers in services marketing.

III. Channels Based on National and International Markets

The national or country level middlemen are already dealt with in detail in the previous paragraphs. The international distribution of goods and services consists of two sub systems. They are domestic distribution system and foreign distribution system. There are export merchants, export trading houses, export agents, state trading organisations, joint ventures, licensees, franchisees etc. performing the functions of middlemen.

23.03 Factors Influencing Channel of Distribution

The factors determining the suitability of a channel for a product distribution are as follows:

i. Product Characteristics

Seasonal products are distributed through less layer of middlemen. Non standardized products that are made according to customer specifications may be delivered directly. But standardized products may be passed on through middlemen. Trucks which are heavily needed to be distributed with less layers of distribution. The life of perishable products is limited and should reach the consumer at the earliest. e.g. Flowers and milk. Technical products which require pre-sale and post-sale advice from technicians should be directly distributed by producer or with middlemen. e.g: Air-conditioners, Washing machine.

ii. Market Characteristics

The size of the market for the goods is a major factor while selecting the route for distribution of products. Distribution in large geographical area requires more middlemen. Middlemen are not required to distribute products in a limited area.

iii. Number of Consumers

Large purchases made by few consumers require centralised distribution. Large number of consumers making purchases in small quantities requires more middlemen.

iv. Middlemen factor

Middlemen who are experienced and have produced more sales are wanted by all producers. Long channel naturally increases the cost and price of the product. The number of layers of middlemen should be kept to the minimum. The competitor who is efficient in reducing distribution cost will sell more as his price tends to be lower.More the middlemen are lesser will be the level of control and more problems on the part of the producers. Quality of distribution service can be ensured and loyal customer base can be created with less middlemen. In some areas there may be scarcity of right middlemen and in some other cases the policies of producers may be not acceptable to the middlemen.

Commerce 16-25.indd 224 2/17/2021 4:50:15 PM